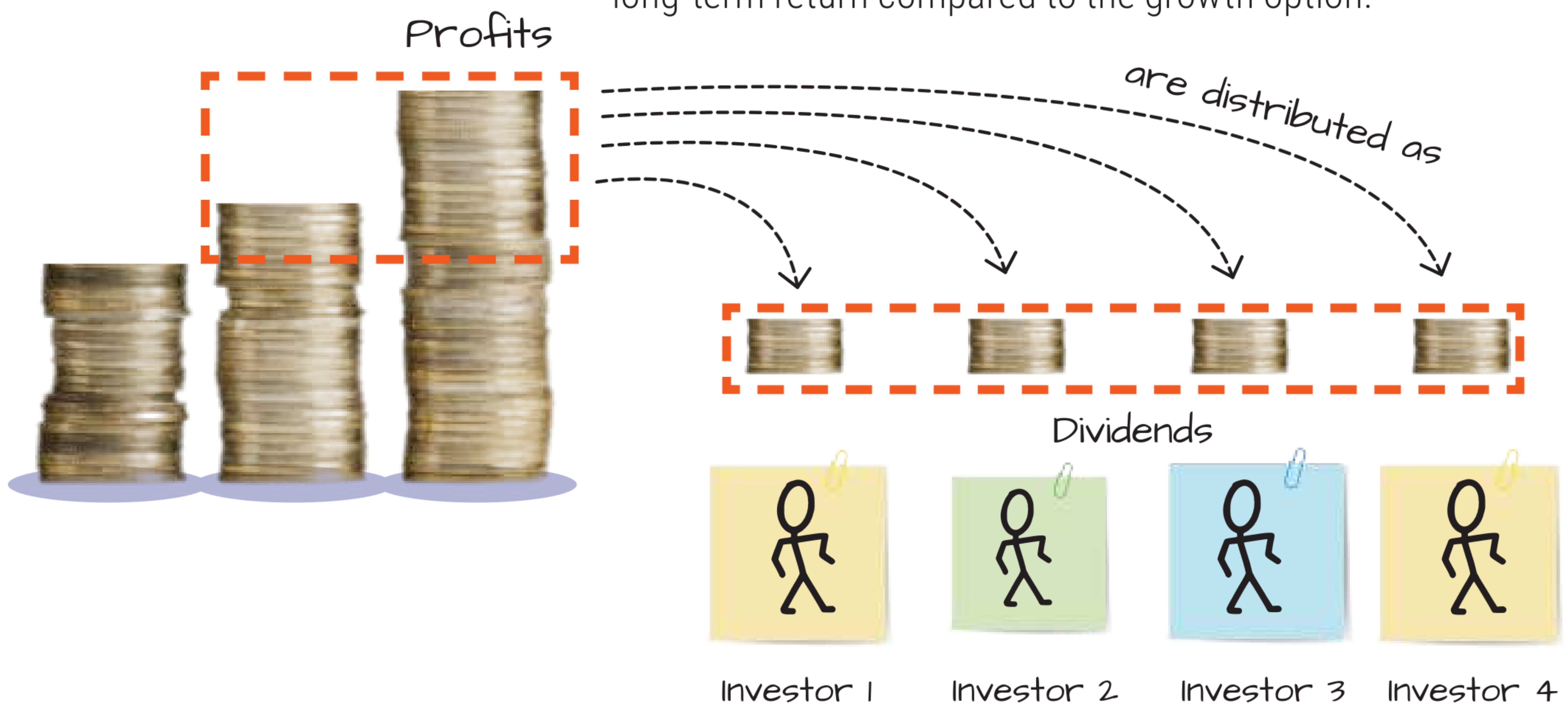


IDCW (Income cum Capital withdrawal)

Here, some profits are distributed to investors as dividends. It suits those needing regular income but they give a lower long-term return compared to the growth option.



So, to summarise the differences, I have made this comparison table:

Particular	Growth Option	IDCW (Income cum Capital Withdrawal)
Fund profit	Reinvested in same scheme.	Some portion is distributed to investors as a dividend.
Long term return	Higher than IDCW due to reinvestment of profit.	Lower than growth as dividend is paid back to investors.
Taxation	Favourable as compared to IDCW.	Dividend is taxed at income tax slab and capital gains at 10% or 15%.
Suitability	Suitable for long term wealth generation.	Suitable for people who require regular income.